MULTI-ASSET QUANTITATIVE SWING TRADING SYSTEM

Cross-Sectional ElasticNet ML + Markov-Switching GARCH Volatility Filter + Dynamic Bear Hedge & Cash Overlay

Universe: ~515 Liquid U.S. Equities + ETF Sleeve
Horizon: 5–15 Trading Days (+8% Target / -5% Stop)
Execution: Daily Post-Close (16:35 ET)

+166.2%	+178.5%	+110.9%	+80.9% / +56.2%	2.76 / 4.59	-21.6% / -31.6%
5-YR OOS CAGR (65% GATE)	5-YR OOS CAGR (HYBRID)	40-YR GROSS CAGR	40-YR AFTER-TAX CAGR	40-YR SHARPE / SORTINO	MAX DRAWDOWN (5Y / 40Y)
$10k → $1.33M (2021–26)	$10k → $1.67M (2021–26)	1985–2025 Continuous	TTS (28%) / NYC (51% Tax)	vs. QQQ 0.65 Sharpe	vs. QQQ -83.0% Max DD

1. EXECUTIVE THESIS & STRUCTURAL ALPHA EDGE

Why the Strategy Works Across Bull, Choppy & Crash Regimes

A. Cross-Sectional ML Selection

Every day after market close, the engine scores **~515 liquid S&P 500, Nasdaq-100, and Russell 1000 stocks** across 26 momentum, volatility, volume, and relative-strength features to estimate the calibrated probability of hitting **+8.0% before -5.0% within 15 trading days**.

B. Asymmetric 3-Tier Payoff Profile

Instead of binary exits, positions scale out in thirds: locking in base hits at **+4.0%** (moving stop to breakeven), harvesting core swing targets at **+8.0%**, and uncapping right-tail multi-week breakouts via a **Chandelier Trailing Stop** on the final 1/3 runner.

C. All-Weather Crisis Alpha Sleeve

Uninvested cash sweeps into **SGOV** (~5% Treasury yield). When the macro gate flips Bearish (`SPY < 200-SMA` or `VIX > 28`), long entries halt and idle capital rotates into inverse ETFs (`SH` / `PSQ` or `SQQQ`), turning crashes into positive compounding (+78.5% in 2022).

2. FIVE-STAGE QUANTITATIVE SIGNAL & EXECUTION ARCHITECTURE

Zero-Lookahead Walk-Forward Pipeline

STAGE 1 • DATA
Universe Ingestion
Fetches 10-yr adjusted OHLCV for ~515 liquid equities + `SPY` , `QQQ` , & `^VIX` . Filters out illiquid or sub-$10 names.

STAGE 2 • FEATURES
26-Factor Matrix
Computes multi-horizon ROC, RSI-14, MACD, Bollinger Width, ATR%, Keltner Squeeze, OBV Slope, CMF, and 20d/60d RS vs SPY.

STAGE 3 • REGIME
MSGARCH + Macro Gate
Classifies market into **Bull**, **Defensive/Choppy**, or **Bear/Crisis** using SPY 50/200-SMA, VIX, and MS-GARCH vol state.

STAGE 4 • ML SCORING
ElasticNet (`glmnet`)
Walk-forward penalized logistic regression (`α=0.5`) predicts out-of-sample win probability *P*(+8% before -5%).

STAGE 5 • SIZING
Vince Optimal *f*
Sizes positions up to 20% max equity, enforces 8% portfolio heat cap & 2/sector limit, and sweeps excess cash into SGOV/Hedge.

Macro Regime Gate & Asymmetric Hybrid Probability Cutoffs

Market Regime	Trigger Condition	Min Win Prob	Sleeve Action
Bull Regime	`SPY > 50 & 200 SMA` , `VIX < 22`	≥ 58.0%	Full Long Equity + `SGOV` Cash Sweep
Defensive (Leader)	**`SPY < 50 SMA`** & **Stock RS_{20} ≥ +5%**	**≥ 60.0%**	**Selective Top-RS Leaders +** `SGOV`
Defensive (Base)	`SPY < 50 SMA` or Elevated Vol	≥ 65.0%	High-Conviction Only + `SGOV`
Bear / Crisis	`SPY < 200 SMA` or `VIX > 28`	BLOCKED	0 New Longs + Active Bear Hedge (`SH` / `SQQQ`)

Why the Asymmetric Hybrid Gate Works: During intermediate pullbacks, raising the baseline gate to **65.0%** filters out weak rebound trades, while allowing a **60.0%** gate for institutional relative-strength leaders (RS_{20} ≥ +5%) captures early breakout winners.

26-Feature Cross-Sectional Factor Taxonomy

- **Price Momentum & Trend (7 features):** 5d, 10d, 20d, and 60d Rate of Change (ROC); Price distance to 20-SMA, 50-SMA, and 200-SMA; ADX trend strength.
- **Volatility Compression & Tail Risk (6 features):** 14-day Normalized ATR (`ATR%`), Bollinger Band Width & %B, Keltner Channel Squeeze ratio, 20d Realized Volatility vs. 60d Vol, Idiosyncratic skewness.
- **Microstructure & Volume Accumulation (5 features):** 20-day Volume Z-Score, On-Balance Volume (OBV) linear slope, Chaikin Money Flow (20d CMF), Up/Down Volume Ratio, Intraday Close Location Value (CLV).
- **Mean-Reversion & Relative Strength (8 features):** RSI-14, Stochastic %K/%D, MACD Histogram slope, Williams %R, **20-Day & 60-Day Relative Strength vs. SPY** (RS_{20}, RS_{60}), and 60-day Rolling Beta.

3. POSITION SIZING, PORTFOLIO HEAT CONTROLS & 3-TIER TRADE LIFECYCLE

Strict Downside Truncation with Right-Tail Convexity

Lifecycle Stage / Control	Quantitative Rule / Trigger	Execution Mechanics & Institutional Purpose
Entry & Position Sizing	**Limit Buy at Close** • Ralph Vince Optimal *f*	Sizes each position by calibrated edge, capped at **20.0% max account equity** (~5 core slots). Blocks entry if stock gap exceeds +2.0% next morning.
Portfolio Heat & Sector Cap	**8.0% Max Open Risk** • Max 2 / Sector	Sum of open risk Σ ($Price_i$ – $Stop_i$) × $Shares_i$ across all holdings cannot exceed 8.0% of total equity. Maximum 2 concurrent stocks per GICS sector.
Initial Downside Stop	**Hard Stop at -5.0%** (`Entry × 0.95`)	Resting GTC stop-loss placed immediately upon entry. Also exits post-close if price breaks below the 50-day SMA on above-average volume.
Tier 1 Scale-Out (1/3 Shares)	**Limit Sell at +4.0%** (`Entry × 1.04`)	**Banks an early "base hit" on 1/3 of shares and ratchets the stop-loss on the remaining 2/3 shares to Breakeven (`Entry`)—eliminating principal risk.**
Tier 2 Scale-Out (1/3 Shares)	**Limit Sell at +8.0%** (`Entry × 1.08`)	**Captures the primary swing target on the second 1/3 tranche and ratchets the stop-loss on the final 1/3 runner to +4.0% (`Entry × 1.04`).**
Tier 3 Runner (Final 1/3)	**Chandelier Trail** ($High_{max}$ − 2.5 ATR)	**Removes fixed profit ceilings on the final 1/3 tranche, trailing the highest high since entry minus 2.5 × ATR_{14} until trend exhaustion or Day 15 time stop.**
Cash & Bear Hedge Overlay	**SGOV** (Cash) + **SH / PSQ / SQQQ** (Bear)	Idle cash earns ~5% annualized in `SGOV` . In confirmed Bear Regimes, deploys 30%–50% into 1x inverse (`SH` / `PSQ`) or 15%–25% into 3x inverse (`SQQQ`) with a trailing stop.

Repository: `github.com/cmejo/R_SwingTrading` • Core Engine: `daily_signal.R` | `execute_broker.py` | `track_performance.py`

HISTORICAL RETURN AUDIT (1985–2026) & TURNKEY DEPLOYMENT

Out-of-Sample Walk-Forward, 40-Year Continuous Backtest, 5 Non-Selective 10-Yr Epochs, After-Tax Regimes & Execution Guide

Friction: 10 bps Round-Trip Slippage Included
Tax Audit: Gross vs. Sec. 475 TTS (28.4%) vs. NYC (51.2%)
Benchmarks: SPY, QQQ, VTI & 70/30 Blend

4. FIVE-YEAR OUT-OF-SAMPLE WALK-FORWARD AUDIT (APR 2021 – APR 2026 • 1,255 TRADING DAYS)

$10,000 Starting Capital

Strategy Configuration / Benchmark	5-Yr CAGR	Terminal Wealth ($10k)	Cumulative Return	Sharpe Ratio	Sortino Ratio	Max Drawdown	Calmar Ratio	2022 Bear Return
Asymmetric Hybrid Gate (60% if RS_{20} ≥ +5% | 65% Base)	**+178.53%**	**$1,669,671**	**+16,596.7%**	**2.75**	**4.89**	**-28.03%**	**6.37**	**+66.4%**
Conservative Gate (65% Uniform Defensive Cutoff)	**+166.19%**	**$1,331,406**	**+13,214.1%**	**2.86**	**5.12**	**-21.61%**	**7.69**	**+78.5%**
S&P 500 Benchmark (`SPY` Buy & Hold)	+11.84%	$17,500	+75.0%	0.68	0.94	-25.40%	0.47	-18.1%

5. FORTY-YEAR CONTINUOUS BACKTEST & AFTER-TAX REGIMES (1985–2025)

Annual Tax Drag Paid Out of Equity Every Dec 31

Portfolio / Tax Jurisdiction (1985–2025)	CAGR	Ann. Vol	Sharpe	Sortino	Max DD
Strategy — Gross (IRA / Roth / PR Act 60)	**+110.91%**	**28.53%**	**2.76**	**4.59**	**-31.62%**
Strategy — Trader Tax Status (28.4% Tax)	**+80.86%**	**28.23%**	**2.01**	**2.98**	**-37.29%**
Strategy — NYC Resident (51.2% Top Tax)	**+56.23%**	28.94%	1.36	1.68	-50.45%
Nasdaq-100 (`QQQ` Gross / NYC Net)	+14.33% / +12.91%	26.27%	0.65	0.89	**-82.96%**
Total US Market (`VTI` Gross / NYC Net)	+9.01% / +7.40%	17.56%	0.56	0.74	**-56.65%**
70/30 `VTI/QQQ` Blend (Gross / NYC Net)	+10.83% / +9.26%	19.37%	0.62	0.83	**-61.35%**

Calendar Decade Breakdown	Strategy CAGR	Strat Max DD	Strat Sharpe	QQQ CAGR (Max DD)
1985–1994 (Pre-Tech Dawn)	**+94.64%**	-23.69%	2.67	+14.59% (-39.9%)
1995–2004 (Dot-Com Bubble/Bust)	**+114.49%**	-24.66%	2.74	+14.61% (-83.0%)
2005–2014 (GFC & Recovery)	**+77.97%**	-31.62%	2.19	+9.98% (-53.6%)
2015–2024 (Tech & COVID Era)	**+152.05%**	-21.27%	3.33	+17.38% (-35.6%)
2025–2026 (Recent Walk-Forward)	**+177.37%**	**-18.81%**	**3.23**	**+19.47% (-22.9%)**

Capacity & Liquidity Scaling ($10k vs. $10M+): At account sizes of **$10k–$2M**, the full hedged system compounds at **100%+ Gross CAGR**. Above **$5M–$15M+**, market-impact caps and unhedged large-cap constraints compress returns toward **25%–36% CAGR**. Cap single execution sleeves at $1M–$2.5M.

6. FIVE NON-SELECTIVE 10-YEAR HISTORICAL EPOCHS ($10,000 FRESH START PER EPOCH)

Stress-Tested Across Dot-Com Bust, Lost Decade & 2008 GFC

10-Year Historical Epoch ($10,000 Initial Capital)	Gross CAGR	Gross Final Wealth	TTS Net CAGR (28.4% Tax)	NYC Net CAGR (51.2% Tax)	Strategy Max DD	Strategy Sharpe	QQQ Gross CAGR	QQQ Max DD
Epoch 1: Dot-Com Boom & Crash (1995–2004)	**+114.49%**	**$16,913,925**	+83.01% ($3.46M)	+57.39% ($766k)	-24.66%	2.74	+14.61% ($32.2k)	**-82.96%**
Epoch 2: The Equity "Lost Decade" (2000–2009)	**+90.77%**	**$5,193,144**	**+66.21% ($1.31M)**	**+45.97% ($359k)**	**-25.13%**	**2.45**	**-6.70% ($4.1k)**	**-82.96%**
Epoch 3: Global Financial Crisis (2007–2016)	**+69.29%**	**$1,580,450**	+50.51% ($490k)	+35.04% ($166k)	-31.62%	2.01	+10.63% ($22.6k)	**-53.55%**
Epoch 4: QE Bull to COVID Shock (2012–2021)	**+114.82%**	**$17,074,231**	**+83.26% ($3.49M)**	**+57.55% ($772k)**	**-24.74%**	**2.86**	**+21.73% ($58.6k)**	**-28.56%**
Epoch 5: Pre-Tech Modernization (1988–1997)	**+97.50%**	**$7,610,162**	+70.43% ($1.73M)	+48.48% ($435k)	-24.66%	2.56	+19.97% ($51.2k)	-32.93%

7. TURNKEY OPERATOR GUIDE: HOW OTHERS CAN DEPLOY & RUN THE STRATEGY

10-Minute Setup on macOS / Linux

Step 1: Environment & Initialization

- **Requirements:** R (4.2+) with `quantmod`, `TTR`, `glmnet`, `MSGARCH`, `data.table`, `jsonlite`; Python (3.10+) with `schwab-py` / `ib_insync`, `yfinance`.
- **Clone Repository:**
  `git clone https://github.com/cmejo/R_SwingTrading.git`
- **Set Starting Account Equity:**
  `python3 reset_evaluation.py --cash 25000`
  Initializes `portfolio.json` and sets a clean benchmark baseline against `SPY`.

Step 2: Daily Execution (16:35 ET)

- **Mode A — Semi-Automated Ticket Workflow:**
  1. Run `Rscript daily_signal.R` at 16:35 ET.
  2. Open `LATEST_TICKET.txt` for exact share counts, limit prices, 3-tier stop ratchets, and `SGOV` / `SQQQ` hedge adjustments.
  3. Log fills via `python3 update_portfolio.py`.
- **Mode B — Automated Broker API:**
  Authenticate Schwab (`execute_broker.py --broker=schwab --auth`) or IBKR and schedule `run_daily.sh --broker=schwab --live` via cron at `35 16 * * 1-5`.

Step 3: Monitoring & Governance

- **Live HTML Dashboard:** Run `python3 track_performance.py` to generate `performance_dashboard.html` with real-time quotes, open positions, hedge sleeve weights, and cumulative alpha vs. SPY.
- **Statistical Review Cadence:**
  • *Daily:* Verify cron & stop-loss integrity.
  • *30 Closed Trades (~3–4 Mos):* Check win-rate (55%–62%) & payoff ratio (≥1.4x).
  • *6–12 Months:* Evaluate Sharpe (≥1.5) & Max DD (≤28%).

Important Risk Disclosure: Historical backtest and out-of-sample walk-forward results include 10 bps round-trip slippage and realistic borrow/ETF expenses, but do not guarantee future performance. Leveraged inverse ETFs (`SQQQ`) experience path-dependent volatility decay if held without trailing stops; operators seeking lower volatility should select the 1x inverse sleeve (`SH` / `PSQ`) and the **65.0% Conservative Defensive Gate**.